**5. Income Taxes**

The Company accounts for income taxes using the asset and liability method. The Company files a consolidated federal income tax return with its wholly owned subsidiaries. The Company and its wholly owned subsidiaries allocate tax and tax items, such as net operating losses ("NOLs") and net tax credits, between members of the group based on their proportion of taxable income and other items. Accordingly, the Company's tax expense is based on taxable income, taking into consideration allocated tax loss carryforwards/carrybacks and tax credit carryforwards.

As of December 31, 2010, the Company had approximately $1.92 billion of gross NOLs to reduce future federal taxable income. All of the Company's NOLs are expected to be available to reduce federal taxable income in the calendar year 2011. The NOLs expire during the years 2024 through 2029. The Company's net deferred tax assets, which include $1.85 billion of the NOLs, are subject to a full valuation allowance. The Company also had approximately $82 million of tax-effected state NOLs at December 31, 2010. At December 31, 2010, the federal and state valuation allowances were $368 million and $62 million, respectively.

For the year ended December 31, 2010, the Company utilized NOLs to reduce its income tax obligation. Utilization of these NOLs results in a corresponding decrease in the valuation allowance. As this valuation allowance was established through the recognition of tax expense, the decrease in valuation allowance offsets the tax provision dollar for dollar.

For the year ended December 31, 2009, the Company recorded a tax benefit of $38 million. Of this amount, $21 million was due to a non-cash income tax benefit related to gains recorded within other comprehensive income during 2009. Generally accepted accounting principles ("GAAP") require all items be considered (including items recorded in other comprehensive income) in determining the amount of tax benefit that results from a loss from continuing operations that should be allocated to continuing operations. In accordance with GAAP, the Company recorded a tax benefit on the loss from continuing operations, which was exactly offset by income tax expense on other comprehensive income as follows (in millions):

| | Net Loss Income Statement | Change in Other Comprehensive Income |
|---|---|---|
| Pre-allocation | $ (226) | $ 46 |
| Tax allocation | 21 | (21) |
| As presented | $ (205) | $ 25 |

In addition, for the year ended December 31, 2009, the Company recorded a $14 million benefit related to a legislation change allowing the Company to carry back 100% of 2008 Alternative Minimum Tax liability ("AMT") net operating losses, resulting in the recovery of AMT amounts paid in prior years. The Company also recognized a $3 million tax benefit related to the reversal of the deferred tax liability associated with the indefinite lived intangible assets that were impaired during 2009.



Table of Contents

For the year ended December 31, 2008, the Company reported a loss, which increased its NOLs, and it did not record a tax provision.

The components of the provision (benefit) for income taxes are as follows (in millions):

| | Year Ended December 31, | | |
|---|---|---|---|
| | 2010 | 2009 | 2008 |
| Current provision: | | | |
| Federal | $ — | $ — | $ 1 |
| State | — | — | — |
| Total current | — | — | 1 |
| Deferred benefit: | | | |
| Federal | — | (38) | — |
| State | — | — | (1) |
| Total deferred | — | (38) | (1) |
| Benefit for income taxes | $ — | $ (38) | $ — |

Income tax expense (benefit) differs from amounts computed at the federal statutory income tax rate as follows (in millions):

| | Year Ended December 31, | | |
|---|---|---|---|
| | 2010 | 2009 | 2008 |
| Income tax expense (benefit) at the federal statutory income tax rate | $ 176 | $ (85) | $ (775) |
| Book expenses not deductible for tax purposes | 14 | 17 | 229 |
| State income tax expense, net of federal income tax expense (benefit) | 12 | (6) | (30) |
| Change in valuation allowance | (202) | 74 | 575 |
| AMT provision (benefit) | — | (14) | 1 |
| Allocation to other comprehensive income | — | (21) | — |
| Long-lived intangibles | — | (3) | — |
| Other, net | — | — | — |
| Total | $ — | $ (38) | $ — |
| Effective tax rate | —% | (15.7)% | —% |



Table of Contents

The tax effects of temporary differences that give rise to significant portions of the deferred tax assets and liabilities as of December 31, 2010 and 2009 are as follows (in millions):

| | 2010 | 2009 |
|---|---|---|
| Deferred tax assets: | | |
| Net operating loss carryforwards | $ 701 | $ 779 |
| Property, plant and equipment | 38 | 30 |
| Investments | (3) | 63 |
| Financing transactions | 27 | 41 |
| Employee benefits | 322 | 346 |
| Dividend Miles awards | 120 | 126 |
| AMT credit carryforward | 25 | 25 |
| Other deferred tax assets | 71 | 26 |
| Valuation allowance | (430) | (623) |
| Net deferred tax assets | 871 | 813 |
| Deferred tax liabilities: | | |
| Depreciation and amortization | 642 | 582 |
| Sale and leaseback transactions and deferred rent | 127 | 137 |
| Leasing transactions | 59 | 45 |
| Long-lived intangibles | 25 | 25 |
| Other deferred tax liabilities | 33 | 40 |
| Total deferred tax liabilities | 886 | 829 |
| Net deferred tax liabilities | 15 | 16 |
| Less: current deferred tax liabilities | — | — |
| Non-current deferred tax liabilities | $ 15 | $ 16 |

The reason for significant differences between taxable and pre-tax book income primarily relates to depreciation on fixed assets, employee pension and postretirement benefit costs, employee-related accruals and leasing transactions.

The Company files tax returns in the U.S. federal jurisdiction, and in various states and foreign jurisdictions. All federal and state tax filings for US Airways Group and its subsidiaries for fiscal years through December 31, 2009 have been timely filed. There are currently no federal audits and three state audits in process. The Company's federal income tax year 2006 was closed by operation of the statute of limitations expiring, and there were no extensions filed. The Company files tax returns in 44 states, and its major state tax jurisdictions are Arizona, California, Pennsylvania and North Carolina. Tax years up to 2005 for these state tax jurisdictions are closed by operation of the statute of limitations expiring. Extensions for two states have been filed.

The Company believes that its income tax filing positions and deductions related to tax periods subject to examination will be sustained upon audit and does not anticipate any adjustments that will result in a material adverse effect on the Company's financial condition, results of operations, or cash flow. Therefore, no accruals for uncertain income tax positions have been recorded.